

ECON 0100 | Exercise B3 | Equilibrium

Pumpkin pasties are bought and sold in a market with the following demand and supply curves:

$$P = 12 - \frac{Q_d}{2} \qquad P = 2 + \frac{Q_s}{2} \qquad (1)$$

Prices are in galleons and quantity is in pasties.

Q1 | Equilibrium

- a) What is the equilibrium quantity? _____
- b) What is the equilibrium price? _____
- c) Plot the demand curve, the supply curve, and the starred equilibrium pair.

Q2 | A Price Away from Equilibrium

Pumpkin pasties again. Suppose the price is 5 galleons.

- a) What is the quantity demanded? _____
- b) What is the quantity supplied? _____
- c) Is this a shortage or an excess, and how large? _____
- d) Which way will the price move? _____